Marvell Technology, Inc. (MRVL)

AI Networking Pure Play

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*AI Networking Pure Play. Duopoly with Broadcom in PAM4 DSPs for 800G/1.6T. Custom ASICs competing as second source to hyperscalers. 79% of revenue from data center [10-Q Q2 FY27]. Guidance Resets Trajectory. Investor Day: $12B FY27, $20B FY28, $70-90B FY31 [8-K guid]. 21 analysts raised targets. JPM $360, RBC $425. Growth is confirmed, not hoped. Market Underprices Plan. At $228 [Mkt 16-Oct-26], market implies 36% CAGR. Our $387 base needs 46%, still below the company's 55-60%. 70% upside with positive skew. Our framework screens it as a **Buy** with a $380.84 blended target, 67% above the current price.*

BUY	$380.84	+67%	$227.83
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

AI Networking Pure Play. Duopoly with Broadcom in PAM4 DSPs for 800G/1.6T. Custom ASICs competing as second source to hyperscalers. 79% of revenue from data center [10-Q Q2 FY27].

Executive summary

Guidance Resets Trajectory. Investor Day: $12B FY27, $20B FY28, $70-90B FY31 [8-K guid]. 21 analysts raised targets. JPM $360, RBC $425. Growth is confirmed, not hoped.

Market Underprices Plan. At $228 [Mkt 16-Oct-26], market implies 36% CAGR. Our $387 base needs 46%, still below the company's 55-60%. 70% upside with positive skew.

$2.74B	79%	36.6%	$0.94	$8.2B	$12B
REVENUE (Q2 FY27)	DATA CENTER MIX	OP MARGIN (NON-GAAP)	EPS (NON-GAAP)	FY2026 REVENUE	FY2027 GUIDE

The moat is structural

Custom ASIC design wins at AWS, Google, Microsoft entering production

Three scenarios make the valuation range explicit

The DCF values Marvell Technology, Inc. across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$242.44**	+6%
Base	50%	**$387.07**	+70%
Bull	25%	**$506.80**	+122%

Bear ($242.44, +6%): Growth disappoints and multiples compress; the $242.44 target marks the downside case.

Bull ($506.80, +122%): Execution compounds and the multiple rerates; the $506.80 target marks the upside case.

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The probability-blended target implies +67% upside

Blended target: $380.84 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +67% upside from the $227.83 reference price.

$380.84

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

P/E (fwd) 31x [Mkt 16-Oct-26] DCF Base $387 [Mkt 16-Oct-26] PEG 0.6 [Mkt 16-Oct-26] DCF implies 70% upside. PEG of 0.6 suggests growth is underpriced.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $380.84 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Custom ASIC design wins at AWS, Google, Microsoft entering production [8-K guid]

800G/1.6T optical DSP upgrade cycle with duopoly pricing power [8-K guid]

$400B addressable market by 2030 in AI infrastructure [8-K guid]

What to monitor

Nov 2026. Q3 FY27 Earnings (Positive): $3.15B guide implies 50%+ YoY growth. Test of acceleration thesis.

2027. Custom ASIC Ramps (Positive): Hyperscaler designs entering volume production.

2028. $20B Revenue Target (Two-Sided): 67% growth target; execution is the risk.

$2.74B	79%	36.6%	$0.94
REVENUE (Q2 FY27)	DATA CENTER MIX	OP MARGIN (NON-GAAP)	EPS (NON-GAAP)

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2026	$8.2B	$4.2B	$2.7B
2025	$5.8B	$2.4B	$-885M

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2024	$5.5B	$2.3B	$-933M
2023	$5.9B	$3.0B	$-164M

MARVELL TECHNOLOGY, INC. | RISKS & INVESTMENT VIEW

BUY

Key risks

Customer Concentration. A handful of hyperscalers drive AI revenue; loss of share at any major customer would be material to the growth trajectory. [10-K FY26]

Execution Risk. The $70-90B FY2031 target requires flawless execution on custom silicon and optical transitions over five years. [10-K FY26]

Broadcom Competition. Broadcom is the entrenched custom ASIC leader with superior scale; Marvell is gaining share but faces a formidable incumbent. [10-K FY26]

Investment view

A Q3 FY27 miss on the $3.15B guide would cut Forward Growth and Trend. Conversely, custom ASIC share gains beyond expectations could push the bull case ($507) into play.

Buy. The $380.84 blended target implies +67% upside, balancing the $242.44 / $387.07 / $506.80 Bear / Base / Bull targets.

MARVELL TECHNOLOGY, INC. | KEY DRIVERS

BUY

800G/1.6T optical DSP upgrade cycle with duopoly pricing power [8-K guid]

$400B addressable market by 2030 in AI infrastructure [8-K guid]

Upcoming catalysts

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